



CHAPTER 36.

An Act to confer on the Treasury powers for giving effect to a loan agreement made between His Majesty's Government in the United Kingdom and the Reconstruction Finance Corporation, and to provide for payments in respect of the disposal of securities, income and other payments for the purposes of the agreement; and for purposes connected with the matters aforesaid. [29th July 1941.]

WHEREAS by an agreement (in this Act referred to as "the Agreement") dated the twenty-first day of July, nineteen hundred and forty-one, and made in the United States of America between His Majesty's Government in the United Kingdom and the Reconstruction Finance Corporation, provision was made for a loan to His Majesty's Government in the United Kingdom from that Corporation repayable, subject to the provisions for extension and prepayment therein contained, on the first day of July, nineteen hundred and fifty-six, for securing the loan by pledge of securities of corporations incorporated under the laws of the United States of America or of one or more of the States thereof, and for the application to the service of the loan of income and other payments arising from the pledged securities and of income from branches in the United States of America of British insurance companies :

And whereas having regard to the duration of the loan the Agreement cannot be carried out under powers conferred under the Emergency Powers (Defence) Acts, 1939 and 1940, and it is expedient that the provisions of this Act should have effect for the purpose of enabling the Agreement to be carried out :

Be it therefore enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual

and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Powers
for giving
effect to
Agreement.

1.—(1) The Treasury may exercise such powers as appear to them necessary or expedient for the purpose of enabling the Agreement to be carried out, and in particular (but without prejudice to the generality of the foregoing provisions of this subsection)—

- (a) may require securities and income and other payments arising therefrom, and income from such branches as aforesaid, to be placed at the disposal of the Treasury ;
- (b) may require, prohibit or restrict the doing of any acts and the execution of any documents.

(2) Any requirements, prohibitions or restrictions which it appears to the Treasury to be necessary or expedient to impose for the purpose aforesaid shall be prescribed by regulations made by them or by orders or directions made or given thereunder by them or on their behalf, and regulations made under this section may contain such incidental and supplementary provisions (including provisions as to the obtaining of information and as to the apprehension, trial and punishment of persons offending against the regulations) as appear to the Treasury necessary or expedient for the purpose aforesaid.

Release of,
and payment
for, securities
and income.

2.—(1) Where any security has been placed at the disposal of the Treasury by virtue of this Act, it shall be released by the Treasury as soon as may be after they have satisfied themselves, at any time while it is under their control, that it is no longer necessary or expedient for the purposes of the Agreement that they should retain control thereof :

Provided that—

- (a) the Treasury may, if at any time it appears to them necessary or expedient so to do for the purposes of the Agreement, by order made as respects any class of securities or by direction given as respects any particular securities, declare that the right to release conferred by this subsection shall be extinguished in the case of the securities to which the order or direction relates ;
- (b) if any security is so dealt with in pursuance of the Agreement as to prevent the Treasury regaining control thereof under the Agreement, the right to the release of that security shall be extinguished.

(2) If at any time the right to the release of any security is extinguished, the Treasury shall as soon as may be thereafter pay in respect of the security such sum in sterling as they may determine, being a sum which in their opinion is not less than the market value thereof at that time :

Provided that, if the Treasury certify that the security was of such a kind as not to be capable of being valued on the basis of market value, the sum to be paid shall be such sum in sterling as may be agreed or, in default of agreement, as may be determined by arbitration to have been the fair value thereof at that time as between a willing buyer and a willing seller.

(3) Where—

(a) any security has been placed at the disposal of the Treasury by virtue of this Act, and any income or other payment arising therefrom before the release of the security, or the extinguishment of the right to the release thereof, is applied in pursuance of the Agreement ;
or

(b) any income arising from any such branch of an insurance company as aforesaid is so applied,

the Treasury shall, as soon as may be after the income or payment is so applied, pay in respect thereof such sum as appears to them to have been the sterling equivalent of the income or payment at the time when it arose.

(4) On the placing at the disposal of the Treasury of any security, any right conferred by this section to release or payment in respect of the security, or to payment in respect of any income or other payment arising therefrom, shall vest in the person who, immediately before the placing thereof at the disposal of the Treasury, was entitled (whether as bailee or otherwise) to possession of the documents of title to the security, and, on the placing at the disposal of the Treasury of any income from such a branch as aforesaid, any right to payment in respect of the income shall vest in the person who, immediately before the placing thereof at the disposal of the Treasury, was entitled to receive income arising from that branch.

(5) Where any person is registered, in accordance with arrangements made by the Treasury, as the person in whom any right conferred by this section to a release or payment is for the time being vested, whether by virtue of the original vesting thereof in him under the last foregoing subsection or by virtue of any assignment or devolution thereof to him, his receipt for the release or payment shall be a good discharge to the Treasury.

(6) Where any security has been placed at the disposal of the Treasury, and before the security is released or the right to the release thereof is extinguished a security is issued by way of dividend arising from the first mentioned security, no payment shall be made under subsection (3) of this section in respect of the security so issued, but this section shall have effect in relation

thereto, and to any income or other payment arising therefrom, as if at the time of its issue it had been placed at the disposal of the Treasury and the person for the time being competent to give a good discharge to the Treasury for payments in respect of dividends arising from the first mentioned security had been entitled to possession of the documents of title to the security issued.

(7) The Treasury shall make regulations for securing that, where a payment under this section is made in respect of any income arising from securities or other possessions out of the United Kingdom, a person who would have been chargeable to income tax in respect of such income so far only as that income had been received in or remitted to the United Kingdom shall not be chargeable to income tax in respect of the payment except to the extent that it becomes available for use in the United Kingdom, and no part of such a payment shall be deemed to be available for use in the United Kingdom so long as it is dealt with only in such manner as may be provided by the regulations.

(8) Any right conferred by this section to the release of a security of any description may be satisfied by the release of any security of that description, and any such right to the release of a security may be satisfied by the release of any security substituted therefor by the exercise of any right of exchange or conversion or any similar right attaching to the security.

(9) The payments to be made under this section shall be made out of funds in the Exchange Equalisation Account, and the making thereof shall be treated as an investment of such funds.

Provisions as
to regulations.

56 & 57 Vict.
c. 66.

3.—(1) Any regulations made under this Act shall be laid before the Commons House of Parliament as soon as may be after they are made; but notwithstanding anything in subsection (4) of section one of the Rules Publication Act, 1893, such regulations shall be deemed not to be, or to contain, statutory rules to which that section applies.

(2) If the said House, within the period of forty days beginning with the day on which any such regulations as aforesaid are laid before it, resolves that the regulations be annulled, they shall thereupon become void, without prejudice, however, to anything previously done thereunder or to the making of new regulations:

Provided that the foregoing provisions of this subsection shall not apply to the regulations made on the first occasion on which regulations under this Act are made, but the regulations made on that occasion shall not have effect until approved by a resolution of the said House.

(3) In reckoning any such period of forty days as aforesaid, no account shall be taken of any time during which Parliament is dissolved or prorogued, or during which the said House is adjourned for more than four days.

(4) In the event of any inconsistency between any provisions of regulations made under this Act, or of any order made or direction given under such regulations, and any provisions (whether coming into effect before or after the first-mentioned provisions) of Regulations made under the Emergency Powers (Defence) Acts, 1939 and 1940, or of any instrument having effect by virtue of Regulations so made, the first mentioned provisions shall prevail, but nothing in this Act shall be construed as limiting the power to make Defence Regulations conferred by the said Acts.

4.—(1) This Act may be cited as the Financial Powers (U.S.A. Securities) Act, 1941.

Short title,
interpretation
and extent.

(2) In this Act the expression "security" includes shares, stocks, bonds, notes, debentures, certificates of beneficial interest, and warrants conferring an option to acquire securities.

(3) It is hereby declared that this Act extends to Northern Ireland.

(4) This Act shall extend to the Isle of Man.